

F.A. (Advanced) 4th Semester

Roll No : 4023

Past Paper : 2020

Q. No. 1 Solution:

Ramirez Developers
General Journal

Date	Accounts Title	Dr.	Cr.
Feb. 10	Loss on Disposal of Plant Assets	200	
	Accumulated Depreciation	25,800	
	Office Equipment		26,000
	(Scrapped office equipment; received no salvage value.)		
Apr. 01	Cash	100,000	
	Notes Payable	800,000	
	Accumulated Depreciation	250,000	
	Land		50,000
	Building		550,000
	Gain on Sale of Plant Assets		550,000
	(Sold land and building for a \$100,000 cash down-payment and a 5-year, 9% note for the balance.)		

Date: _____

Aug. 15	Vehicles (New Truck)	39,000	
	Accumulated Depreciation	18,000	
	Vehicles (Old Truck)		26,000
	Gain on Disposal of Plant Assets		2,000
	Cash		29,000
(To record trade-in of old truck on new; trade-in allowance exceeded book value by \$2,000.)			

Oct. 01	Office Equipment (New Computer)	8,000	
	Loss on Trade-in of Plant Assets	3,500	
	Accumulated Depreciation	11,000	
	Office Equipment (Old Computer)		15,000
	Cash		1,500
	Notes Payable		6,000
(Acquired new computer system by trading in old computer, paying part cash, and issuing a 1-year, 8% note payable. Recognized loss equal to book value of old computer (\$4000) minus trade-in allowance (\$500).)			

Q. No. 2 Solution:
(See Past Papers 2023)

Req. # ^{a.} Solution: Subsidiary
Ledger
Records:

Q. No. 3 Solution:

1. Average Cost

Date	Purchased			Sold			Balance	
	Units	Unit Cost	Total	Units	Unit Cost	C.G.S.	Units	Unit Cost
Dec. 12	400	20	8,000				400	20
Jan. 16	1200	22	26,400				1,600	21.50
Jan. 22				700	21.50	15,050	900	21.50
								19,350

2. FIFO

Dec. 12	400	20	8,000				400	20	8,000
Jan. 16	1200	22	26,400				400	20	
							1200	22	34,400
Jan. 22				400	20	14,800	900	22	19,800
				300	22				

3. LIFO

Dec. 12	400	20	8,000				400	20	8,000
Jan. 16	1200	22	26,400				400	20	
							1200	22	34,400
Jan. 22				700	22	15,400	400	20	
							500	22	19,000

Req. #b. Solution:

General Journal

Date	Accounts Title	De.	Cr.
(1) Average-Cost:			
Jan. 22	Cost of Goods Sold	15,050	
	Inventory		15,050
	(To record cost of 700 cartridges to Maxine Supplies by the average-cost method: 700 units @ 21.50 (\$34,400 total cost, divided by 1,600 units))		
(2) FIFO:			
Jan. 22	Cost of Goods Sold	14,600	
	Inventory		14,600
	(To record cost of 700 cartridges sold to Maxine Supplies by the FIFO flow assumption: 400 units @ 20, plus 300 units @ \$22)		
(3) LIFO:			
	Cost of Goods Sold	15,400	
	Inventory		15,400
	(To record cost of 700 cartridges sold to Maxine Supplies by the LIFO flow assumption 700 units @ \$22)		